

between 1969 and 1993—barely 1 percent of that period—accounted for 95 percent of the market's gains. Another, even longer-term study showed that if you, in your timing efforts, were out of the market a critical 7 percent of the 780 months from 1926 through 1990 you would have earned absolutely nothing from sixty-four years of investing.

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I believe the should-I-or-shouldn't-I dilemma eventually nailed every market timer who's tried to be in the mutual fund business. No mutual fund manager who relies on market timing has kept his job for fifteen years.

Individual investors who try to time the market will be tossed on the same horns. Trying to be a timer is a great way to make yourself a nervous wreck. Few people are built to be traders. But I think it's even tougher on professional money managers who try to be timers. The psychological pressure is greater. An individual investor can do as he or she pleases. If he wants to own bonds instead of stocks, or buy a boat instead of owning either stocks or bonds, nobody is going to say, "You're not doing it right. You're fired." Your family may grumble if you get it wrong, but the reason you're running the money is that they think you know more about investments than they do, so they'll probably say, "Well, you were just being conservative." The professional, on the other hand, has his or her career—and self-esteem—on the line. There's a bit of a difference between missing a putt on Sunday with the boys, when it's going to cost you \$3, and missing the putt on TV in a PGA match, when it will cost you \$250,000.